

PRIORITY

Climate Change

Our ambition is to reduce our GHG emissions to limit global warming by focusing our efforts on key sectors over which we have direct operational control, as well as select categories under our indirect control. Through these actions, we aim to contribute to the collective effort to transition to a lower-carbon economy.

METRO is committed to addressing climate change by reducing our greenhouse gas (GHG) emissions and improving our resiliency. To achieve this, we have in place a number of strategies and initiatives listed hereafter and in the resources section.

GHG reduction target

In our 2022–2026 Corporate Responsibility (CR) Plan, we set a target to reduce GHG emissions by 37.5% by 2035 compared to 2020¹. Our target focuses on reductions in all activities under our operational control and select categories under our indirect control, such as waste, business travel and third-party transportation.

This target demonstrates METRO's commitment to taking concrete action to fight climate change, while taking into consideration that significant reductions in GHG emissions take time, reliable technologies and a robust roadmap.

We are confident that our approach is a good first step toward fighting climate change, which includes both short- and long-term initiatives. We made progress in developing the resources and governance we need to ensure we deliver against our climate commitments in the future. We increased our internal capacity and expertise on climate change, explored the new cutting-edge standards and tools for ambitious pledges, while assessing and progressing on a multitude of industry best practices projects. METRO continues its efforts and is committed to rigorously evaluating the feasibility and costs of achieving the Science Based Targets initiative (SBTi) Net-Zero Standard².



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¹ Scope of the target: Corporate stores and pharmacies, franchised stores, METRO-owned distribution and production centres, METRO-owned shopping centres (common areas), METRO leased or owned office buildings/space

² **SBTi Net-Zero Standard**, published in November 2021



METRO’s carbon footprint

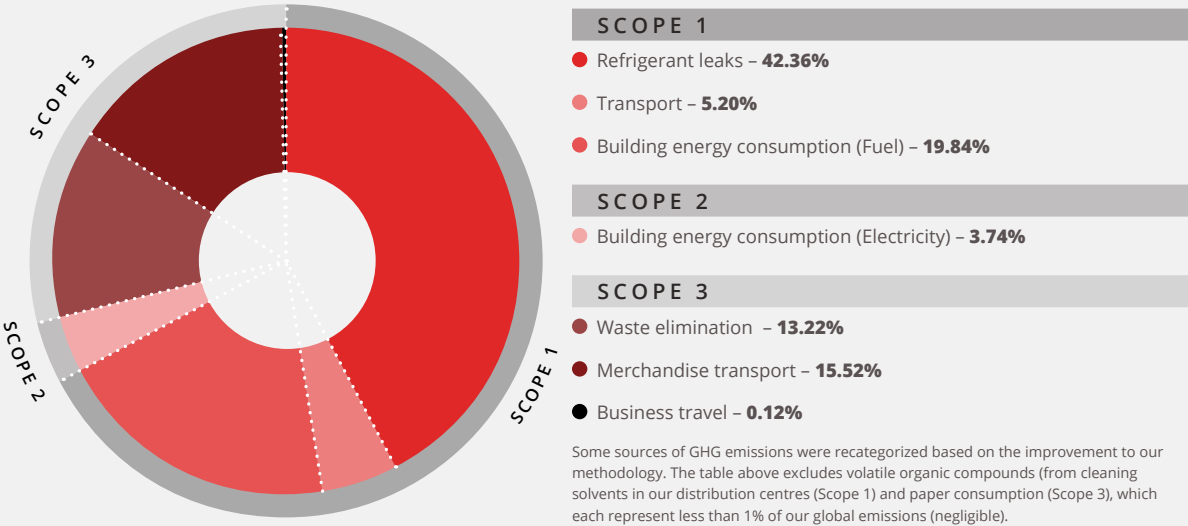
This year for the first time, we are reporting both our total amount of GHG emissions emitted (absolute) and our GHG emissions relative to our size expressed in square footage (intensity)¹. In 2022, our GHG emissions remained relatively stable, despite growth in our activities. This is largely due to the continued actions and efforts in transportation efficiency, energy retrofits and refrigerant conversions. 2021 GHG emissions and 2022 GHG emissions details are available in our [GHG emissions infosheet](#). For our intensity KPI (kg CO₂eq/sq. ft.), the increase in 2021 compared to 2022 is the result of square footage decrease due to sites under our control. As part of our distribution network modernization, the transition of old sites created an overlap with the new ones, resulting in an increase in our square footage in 2021.

Corporate and franchised stores and distribution and manufacturing centres – Québec and Ontario



Sources of our GHG emissions

For disclosure year 2022



In 2022, METRO submitted its 15th carbon footprint to CDP, reporting data from 2021. This information is publicly available on the [CDP’s website](#).

¹ Methodology: GHG data was calculated in accordance with the Greenhouse Gas Protocol. The reporting period reflects a rolling year ending in fiscal period 10.



Improving data collection

To understand our impact on climate change, we have been tracking our GHG emissions for more than a decade. We periodically evaluate and improve our methodology to have the most accurate and complete data possible to improve our transparency, manage risks and evaluate our actions.

In 2022, we improved our data collection to help us monitor our progress in a timely manner and facilitate reporting to make it more efficient and transparent. Aware of the need to be more transparent about all our emissions, we are also working on calculating more of our indirect operations and their emissions to expand our reporting (Scope 3). For more details on our methodology, please refer to our Methodology for reporting our GHG emissions.

TCFD supporter

In 2022, METRO announced its support for the Task Force on Climate-related Financial Disclosures (TCFD), publicly committing to working towards implementing TCFD’s 11 recommendations in the next years. This offers us an additional way to share how we are managing climate-related risks and opportunities to help reduce investors’ risks, maximize their financial rewards, and minimize market disruptions related to climate change.

We have established a roadmap to gradually improve our understanding of climate-related risks and provide reporting in line with the recommendations. We anticipate performing a climate-related risk scenario analysis in the next two years, with support from external resources, to identify and prepare for the impacts that climate change will have on our business models.

For more details, please refer to METRO’s TCFD index.

Climate Change Committee

Our new Climate Change Committee brings together multiple departments of the company to develop a common vision and robust roadmap to address climate change issues for the company by establishing a strategy to identify, quantify and manage the various climate-related risks and opportunities.

This gives us greater insight into relevant issues and helps us improve our performance on an ongoing basis, and further integrates our commitment to climate action and corporate responsibility to our business activities.

The Climate Change Committee reports back to METRO’s Environmental Committee, which reports to the Governance and Corporate Responsibility Committee of the Board of Directors on an annual basis. When they are assessed as material, climate-related issues could be brought to the Board of Directors’ attention.

TCFD

By becoming a TCFD supporter and the first Canadian food and pharmacy retailer to make this public commitment, we maintain best-in-class disclosure with our shareholders and other stakeholders regarding the potential risks and opportunities related to climate change.



Topic	Metric	2022	2021	2020	2019	2018	SASB	GRI
No GMO criteria (farmed Atlantic salmon)								
Suppliers evaluated	Percentage (%)	86.1%						
Purchases evaluated	Percentage (%)	98.8%						
Suppliers evaluated that meet our requirements	Percentage (%)	100.0%						
Purchases evaluated that meet our requirements	Percentage (%)	100.0%						
Health, Nutrition and Well-being								
Private brand products that foster healthy eating (Irresistibles Life Smart, Irresistibles Organics, Irresistibles Naturalia, Irresistibles Gluten Free and Life Smart)	Number	475	402	429	417	403		
Increase of private brand products that foster healthy eating YoY (Irresistibles Life Smart, Irresistibles Organics, Irresistibles Naturalia, Irresistibles Gluten Free and Life Smart)	Percentage (%)	18.2%	-6.3%	2.9%	3.5%	6.8%		
Expired and discontinued medication recovered annually ¹	Kilograms (kg)		105,583.8					
Packaging and Printed Materials								
Single-use plastic shopping bags – food and pharmacy banners	Status		In-store banning in progress					
Variation of single-use plastic packaging compared to previous year								
Polystyrene foam trays (food banners, fresh products sections)	Percentage (%)	-5.5%						
Plastic wraps (food banners, produce section) ²	Percentage (%)	-14.4%						
Single-use produce bags (food banners, produce section)	Percentage (%)	-5.7%						
Polystyrene foam trays made of minimum 50% recycled content (food banners, fresh products section)	Percentage (%)	87.6%	74.7%					301-2
Recyclability of packaging (food banners, fresh products section)								
White polystyrene foam trays	Percentage (%)	62.1%						
Clear PET containers	Percentage (%)	97.0%						

1 The data is calculated according to calendar year.

2 All food stores except Adonis.



Topic	Metric	2022	2021	2020	2019	2018	SASB	GRI
Variation of single-use plastic packaging in our store bistro areas compared to 2018								
Individually wrapped utensils	Percentage (%)	-66.8%						
Cutlery kits ¹	Percentage (%)	-53.9%						
Stir sticks ¹	Percentage (%)	Eliminated						
Flyers								
Variation of the total weight of the paper used in our food and pharmacy banner flyers compared to the previous year	Percentage (%)	-10.9%	-14.5%					
Private brands								
Average weight of private brand products packaging ²	Grams (g)	47.0 g	48.8 g	50.9 g	49.0 g	50.9 g		301-1
Private label products packaging components that are 100% recyclable or compostable – fibres only ²	Percentage (%)	93.0%	93.1%	92.3%	93.0%	93.0%		
Postconsumer materials in private brand products packaging ²	Percentage (%)	29.7%	31.0%	30.0%	30.0%	30.0%		
Private brand products packaging that includes sorting instructions ²	Percentage (%)	49.9%	44.0%	30.0%	27.0%	23.0%		
Environment								
Climate Change – Greenhouse Gas Emissions and Energy								
GHG emissions (total) ³	Metric tons (t) CO ₂ e	395,589.9 ⁴	396,023.5	403,136.4				
Direct (Scope 1) GHG emissions	Metric tons (t) CO ₂ e	266,631.8 ⁴	264,654.8	270,761.0				305-1
Energy indirect (Scope 2) GHG emissions	Metric tons (t) CO ₂ e	14,785.4 ⁴	14,668.3	17,872.0				305-2
Other indirect (Scope 3) GHG emissions for the categories: Business Travel, Waste and Upstream Transportation	Metric tons (t) CO ₂ e	114,172.7 ⁴	116,700.4	114,503.4				305-3
GHG emissions intensity	Kilograms (kg) CO ₂ e/sq. ft.	16.21 ⁴	15.83	16.51				305-4

1 All food stores except Adonis.
2 Excluding drug, health and beauty private brand products.
3 Includes the scopes specified in the following three lines.
4 Data calculated on a rolling year ending in fiscal period 10.



Topic	Metric	2022	2021	2020	2019	2018	SASB	GRI
Fleet fuel consumed	GJ	278,425.6 ¹	274,344.1	269,339.0			FB-FR-110a.1	302-1
Gross global Scope 1 emissions from refrigerants	Metric tons (t) CO ₂ e	167,592.4 ¹	167,028.2	170,163.0			FB-FR-110b.1	
Operational energy consumed	GJ	5,764,368.7 ¹	5,762,867.9	5,893,486.1			FB-FR-130a.1	302-1
Food Waste								
Variation of food waste generated (corporate and franchised food stores) compared to 2016	Percentage (%)	-24.6% ¹						
Food waste generated (corporate and franchised food stores)	Metric tons (t)	52,162.5 ¹						
Food loss and waste generated (distribution centres)	Metric tons (t)	4,553.7 ¹					FB-FR-150a.1	
Food loss and waste generated	Metric tons (t)	56,716.2 ¹					FB-FR-150a.1	
Waste								
Diversion rate (total) ²	Percentage (%)	66.0% ¹	67.0%	66.5%	66.0%	65.0%		
Waste generated ²	Metric tons (t)	177,849.4 ¹	173,483.5	172,194.6	170,711.5	168,087.4		306-3
Waste diverted from disposal ²	Metric tons (t)	117,327.6 ¹	116,230.3	114,581.2	112,887.0	109,242.0		306-4
Waste directed to disposal ²	Metric tons (t)	60,521.8 ¹	57,253.2	57,613.4	57,824.5	58,845.5		306-5
Colleagues								
General Employee Data								
Employees ³	Number	49,026						2-7
Employees (male) ³	Number	26,431						2-7
Employees (female) ³	Number	22,593						2-7
Employees (permanent) ³	Number	48,355						2-7
Employees (temporary) ³	Number	671						2-7
Employees (full-time) ³	Number	16,975						2-7
Employees (part-time) ³	Number	32,051						2-7

1 Data calculated on a rolling year concluding at the end of the third quarter of fiscal 2022.

2 Corporate and franchised food stores.

3 Data available for employees in administrative centres, distribution centres and corporate and franchised stores, excluding Adonis, Phoenicia and Première Moisson.



Topic	Metric	2022	2021	2020	2019	2018	SASB	GRI
Equity, Diversity and Inclusion								
Women in senior management positions	Percentage (%)	25.4%	24.1%	22.8%				405-1
Women in management positions in administrative and distribution centres	Percentage (%)	32.5%						405-1
Women in management positions in stores ¹	Percentage (%)	20.5%	23.7%	25.0%				
Women on the Board of Directors	Percentage (%)	33.3%	33.3%	31.0%				405-1
People from culturally diverse backgrounds in management and senior management positions ²	Percentage (%)	12.0%						405-1
Women and people from culturally diverse backgrounds in the mentorship program ²	Percentage (%)	63.0%						
Women in the succession plan ³	Percentage (%)	49.0%						
Management positions filled internally, including lateral movements and promotions	Percentage (%)	53.6%	56.0%	54.0%				
Hiring processes for management positions in which women were considered	Percentage (%)	65.2%						
New hires for management positions who are women	Percentage (%)	50.5%						
Senior management who have completed ED&I training	Percentage (%)	100.0%						
Ratio of basic salary of women to men ⁴	Percentage (%)	100.2%						405-2
Ratio of remuneration of women to men ⁵	Percentage (%)	98.3%						405-2

1 Excluding Adonis, Phoenicia and Première Moisson.

2 Voluntary self-identification survey.

3 If a person is identified as a potential replacement for more than one position, that person is counted more than once.

4 Non-unionized employees including executives.

5 Non-unionized employees including executives. Inclusive of incentives, bonuses, overtime pay and all other cash payments received during fiscal year.